

France: Le Pen will aim to address market fears

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Practice Letter

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Le Pen will aim to address market fears next week

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An important question for investors and senior officials in Brussels and EU capitals is whether Marine Le Pen will moderate her program on domestic economic policy and Europe if she wins the French presidential election next May.

Polls showing the possibility of an all extremes run-off in May between Le Pen and the far-left candidate Jean-Luc Melenchon—which Le Pen would easily win—have increased market pressure on France's fragile public finances. Eurasia Group continues to believe that a Le Pen versus center runoff is more likely, but the question remains: What should the world expect from a President Le Pen?

After multiple conversations, including with senior National Rally (RN) sources this week, here is my first attempt to answer that question.

Le Pen will moderate on domestic economic policy but may not prove credible

The increase in French spreads relative to Germany—widening to 1.45% this week—has not been lost on the National Rally. One senior party official says: "We know everyone is waiting on this. Le Pen understands."

The candidate had already notionally committed to a golden rule—a maximum overall deficit of 3% of GDP and a commitment to borrow primarily for investment, not current spending. On 1 October, Le Pen went further, arguing that the deficit would have to remain at least 0.5 percentage points of GDP below whatever level stabilizes France's debt-to-GDP ratio below 60% of GDP, as required by EU rules. However, Le Pen committed to put this proposal to a referendum.

Le Pen's advisers are also signaling that she is likely to enable the passage of Prime Minister Sebastien Lecornu's budget for 2027 by abstaining rather than censuring or voting in favor. Eurasia Group's basecase foresees a 40% probability that the budget will be adopted under the special powers granted under Article 49.3 of the constitution, and a 25% chance this year's budget will be rolled over into the

early months of 2027 (see note French budget threatens yet another government , 22 September 2026).

Le Pen will also give a major speech next week on 6 October in which she will confirm her pledge, if elected, to cut €125 billion from the deficit during her five-year term. RN insiders insist that Le Pen's proposals will be precise and detailed. But she has left herself little room for maneuver. She has ruled out all tax increases or major cuts in welfare (more than 50% of all French spending). She has also doubled down on her promise to reduce the official pension age to 62 (and 60 for some) from 63 at present. Her critics say this move would swell the deficit by at least €6 billion.

Where could the €125 billion come from? There may be some new ideas next week, but the risk is that Le Pen revives her 2022 proposals to reduce public spending on migrants, crack down on fraud, and withhold a share of France's legally mandated payments to the EU. Critics say that she has inflated the expected savings from such proposals in the past.

Nonetheless, Le Pen's attempt to moderate her fiscal plans is a clear sign that she understands the importance of addressing her Achilles heel and that she can't win a confrontation with the bond markets. It also suggests there is growing convergence between her and Jordan Bardella, her number two, who is widely seen as more pragmatic.

The RN will maintain confrontational stance on Europe

Le Pen's pragmatism will not extend to the EU. "Don't underestimate the contempt that Le Pen has for the EU," says one senior RN insider.

The immediate conflict will be over the next EU budget—known as the multi-annual financial framework (MFF)—which will run from 2028-2035. Senior EU officials are aiming to strike a deal among EU leaders on a more ambitious, more competitively focused MFF by the end of this year or early next year, certainly before France's presidential election in May.

RN officials are clear that if an MFF deal is done, Le Pen will reject it and claim it was anti-democratic. Her party has leverage. For any MFF deal to be fully binding, the National Assembly will have to ratify the revenue component of any deal (known as the Own Resources regulation).

Ratification is highly unlikely before next May. Even if it is, Le Pen is still likely to oppose paying France's national contribution—averaging around €26 billion per year in the current MFF and, according to the French Senate, projected to increase to around €36 billion if new supranational taxes are agreed or €42 billion if they are not. As the RN opposes new EU-level taxes, France's contribution would be at the higher end of the estimate. "How can Le Pen send €40 billion to Brussels when we have to cut €125 billion at home?" asks one senior RN adviser.

Senior EU officials are largely complacent about these risks. The working assumption is that Le Pen won't risk the ire of her fellow 26 leaders, or French farmers who benefit from the EU budget's agricultural subsidies, by preventing a deal from going through. This underappreciates her deep-seated opposition to any MFF deal done over her head.

While senior RN officials accept Le Pen may be ultimately forced to do a deal, simply because the expertise and competence of the French and European technocracies will outmatch the immediate talent that Le Pen will be able to draw on, the EU will have to give her some significant concessions for her consent. One RN official says: "Le Pen's landing zone for a deal will be one that implies no increase

in France's annual €26 billion contribution. I don't see Le Pen signing off on any increase in the budget."

Moreover, German Chancellor Friedrich Merz's defense and security agenda—largely domestic spending for domestic defense—sets a precedent the RN is eager to follow in other areas important for France. One priority is reforming the EU's electricity market, given Le Pen's belief that France's nuclear advantage is being diluted by the way the EU's market sets prices. Another priority is reforming the EU's Schengen rules by introducing a so-called "double border"—enabling France to regain control of its own national border while pushing to strengthen the EU's external border. Regarding single market rules, a key RN goal is the ability to favor French firms, a move that would conflict with the EU's level-playing-field principle.

Moreover, Le Pen is suggesting she would achieve these changes not by pushing for EU treaty change but rather constitutional change in France, via a domestic referendum. This approach represents a major problem for the EU, as it would once again surface an as-yet-unresolved legal question about whether EU treaties or domestic constitutions have legal supremacy. While the EU and European Court of Justice's position is clear—EU law has primacy over all national law, including constitutional law—several national constitutional courts—for example, Poland's and Germany's—have never accepted that this proposition is unlimited.

What about Ukraine?

Le Pen's Ukraine policy is also in flux, though she has clearly moderated on some elements. Senior RN officials are clear that a Le Pen president would not withdraw French support for training Ukrainian soldiers in France or Poland. As president, she would also continue to engage the so-called coalition of the willing. She would be willing to deploy French troops in Ukraine alongside international forces if a ceasefire were achieved. Senior RN voices also say Le Pen would prioritize diplomacy and would aim to do so via a collective EU position rather than bilaterally. "We do not want a divided Europe speaking to Russia," says one senior foreign policy adviser to Le Pen. "We know Putin wants a Russian peace. But why should the US speak on our behalf?" RN officials also insist that Ukraine should decide what deal it can accept and that they would place no pressure on Kyiv to recognize Russian gains in the Donbas. Interestingly, they also argue that France would remain fully engaged in the NATO framework and would not take a position on leaving its integrated military command as long as the war in Ukraine is unresolved; a France under Le Pen would remain committed to the eastern flank.

However, a commitment to de-prioritize financial aid remains. As one senior RN official asks: "How can we explain to voters we need to cut everything domestically, yet the only thing increasing is aid to Ukraine?"

The RN's opposition to bilateral aid to Ukraine, coupled with its opposition to the MFF, would seriously undermine the EU's ability to financially support Kyiv. (Despite the €90 billion loan agreement secured last year, Ukraine is already facing a funding gap of up to €70 billion next year, according to some officials.) The European Commission's MFF proposal includes a €100 billion reserve fund for Ukraine, which would not take effect if Le Pen torpedoed the deal. The RN also opposes the use of Russia's immobilized reserves in Euroclear.

These policies would invariably weaken Ukraine's negotiating position. RN officials retort that while all political parties claim they will keep supporting Ukraine, they have no idea how they will pay for it. "We are just more honest about it," says one.

So would Le Pen more resemble Giorgia Meloni or Viktor Orban? Le Pen would be more aggressive than the Italian prime minister and perhaps more confrontational than the ex-Hungarian leader. Ultimately, what may protect the EU is the bigger domestic challenges a Le Pen administration may immediately confront—including street protests, strikes, and a possible bond market sell-off. Nonetheless, the economic, geographic, and historical importance of France to the EU could make even a politely obstructive Le Pen a greater threat to the EU than Orban or Meloni ever were.

Happy to discuss,

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